

Federal Constitution

NOTES

Art. 108

Clause (1)

- a. The words “other Ministers” substituted for the words “other Minister” by Act A354, section 22, in force from 27-08-1976.
- b. The words “Yang di-Pertua Negeri” substituted for the word “Governor” by Act A354, section 42, in force from 27-08-1976.

Clause (4)

The words “or (3A)” at end of paragraph (g) were inserted by Act 14/1962, section 32, in force from 21-06-1962.

See Art. 112D(7).

it involves questions of finance, and the Government of a State may consult the said Council in respect of any matter which affects the financial position of that State.

Grants to States

109. (1) The Federation shall make to each State in respect of each financial year—

- (a) a grant, to be known as a capitation grant, which shall be calculated in accordance with the provisions of Part I of the Tenth Schedule;
- (b) a grant for the maintenance of State roads, to be known as the State road grant, which shall be calculated in accordance with the provisions of Part II of that Schedule.

(2) Parliament may from time to time by law vary the rates of the capitation grant; but if the effect of any such law is to reduce the grant, provision shall be made in that law for securing that the amount of grant received by any State in respect of any financial year is not less than ninety per cent of the amount received by that State in the preceding financial year.

(3) Parliament may by law make grants for specific purposes to any of the States on such terms and conditions as may be provided by any such law.

(4) The amounts required for making the grants mentioned in the preceding provisions of this Article shall be charged on the Consolidated Fund.

(5) If, in accordance with Article 103, a Contingencies Fund is created, the power to make advances from that Fund for meeting an urgent and unforeseen need for expenditure shall include power to make such advances to a State for meeting such a need.

(6) The Federation shall pay into a fund, to be known as the State Reserve Fund—

- (a) (*Repealed*);
- (b) in respect of every financial year such sum as the Federal Government may, after consultation with the National Finance Council, determine to be necessary,

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Clause (2): See Art. 108(4)(g).

Clause (6)

The word “succeeding” which appeared before the words “financial year” in paragraph (b) was deleted and paragraph (a) were repealed by Act 25/1963, section 8, in force from 29-08-1963 and read as follows:

“(a) in respect of the first financial year in which Part VII is in operation, the sum of four million dollars; and”.

and the Federation may from time to time, after consultation with the National Finance Council, make grants out of the State Reserve Fund to any State for the purposes of development or generally to supplement its revenues.

Assignment of taxes and fees to the States

110. (1) Subject to Clause (2), each of the States shall receive all proceeds from the taxes, fees and other sources of revenue specified in Part III of the Tenth Schedule so far as collected, levied or raised within the State.

(2) Parliament may from time to time by law substitute for any source of revenue specified in section 1, 3, 4, 5, 6, 7, 8, 12 or 14 of Part III of the Tenth Schedule or for any source of revenue so substituted, another source of revenue of substantially equal value.

(3) Each State shall receive, on such terms and conditions as may be provided by or under federal law, ten per cent or such greater amount as may be so provided of the export duty on tin produced in the State.

(3A) Parliament may by law provide that each State shall receive, on such terms and conditions as may be prescribed by or under federal law, such proportion as may be so prescribed of the export duty on minerals (other than tin) produced in the State.

In this Article “minerals” means mineral ores, metal and mineral oils.

(3B) Without prejudice to the power to impose conditions conferred by Clause (3) or (3A), Parliament may by law provide for prohibiting or restricting, in, or except in, such cases as may be provided by or under the law, the levying of royalties on or similar charges in respect of minerals (whether under a lease or other instrument or under any State enactment, and whether the instrument was made or the enactment passed before or after the coming into operation of this Clause).

(4) Without prejudice to the provisions of Clauses (1) to (3A), Parliament may by law—

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Art. 110

See Art. 161c(3).

Clause (3)

- a. The words “may be provided by or under federal law” and the words “may be so provided” substituted for the words “Parliament may by law provide” by Act 14/1962, section 32, in force from 21-06-1962.
- b. *See* Art. 108(4)(g).

Clause (3A)

- a. Added by Act 14/1962, section 19, in force from 21-06-1962.
- b. *See* Art. 108(4)(g) & 112c(3).
- c. *See*—
 - i. Assignment of Revenue (Export Duty on Iron Ore) Act 1962 [*Act 395*];
 - ii. Assignment of Export Duty (Mineral Ores) Act 1964 [*Act 396*].

Clause (3B)

- a. Added by Act 14/1962, section 19, in force from 21-06-1962.
- b. *See* Art. 112c(4).

Clause (4)

- a. The words “to (3A)” substituted for the words “to (3)” by Act 14/1962, section 32, in force from 21-06-1962.
- b. *See* Art. 112c(3).

Clause (5)

The words “Clauses (3) and (3A)” substituted for the words “Clause (3)” by Act 14/1962, section 32, in force from 21-06-1962.

- (a) assign to the States the whole or any portion of the proceeds of any tax or fee raised or levied by the Federation; and
- (b) assign to the States the responsibility of collecting for State purposes any tax or fee authorized by federal law.

(5) The amounts receivable by the States under Clause (1), (2) or (4) shall not be paid into the Consolidated Fund; and the amounts receivable by the States under Clauses (3) and (3A) shall be charged on the Consolidated Fund.

Restriction on borrowing

111. (1) The Federation shall not borrow except under the authority of federal law.

(2) A State shall not borrow except under the authority of State law, and State law shall not authorize a State to borrow except from the Federation or, for a period not exceeding five years, from a bank or other financial source approved for that purpose by the Federal Government, and subject to such conditions as may be specified by the Federal Government.

(3) A State shall not give any guarantee except under the authority of State law, and such guarantee shall not be given except with the approval of the Federal Government and subject to such conditions as may be specified by it.

Restriction on alterations in establishments of States

112. (1) Subject to Clause (2), no State shall, without the approval of the Federation, make any addition to its establishment or the establishment of any of its departments, or alter the rates of established salaries and emoluments, if the effect of doing so would be to increase the liability of the Federation in respect of pensions, gratuities or other like allowances.

(2) This Article does not apply to—

- (a) non-pensionable appointments the maximum salaries of which do not exceed four hundred ringgit per month or such other amount as may be fixed by order by the

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Art. 111

Clause (2)

The present Clause was inserted by Act A354, section 23, in force from 27-08-1976, and replaced the earlier Clause which read as follows:

“(2) A State shall not borrow except under the authority of State law, and State law shall not authorized a State to borrow except from the Federation or, for a period not exceeding twelve months, from a bank approved for that purpose by the Federal Government.”.

See Art. 112B.

Clause (3): Substituted by Act A354, section 23, in force from 27-08-1976.

Art. 112

Clauses (2)(a) & (b)

- a. The word “ringgit” substituted for the word “dollars” by Act 160, paragraph 2(b), in force from 29-08-1975.
- b. The words “or such other amount as may be fixed by order by the Yang di-Pertuan Agong” were inserted after the words “per month” by Act A354, section 24, in force from 27-08-1976.

Yang di-Pertuan Agong; or

- (b) pensionable appointments the maximum salaries of which do not exceed one hundred ringgit per month or such other amount as may be fixed by order by the Yang di-Pertuan Agong.

*Chapter 2—Application to States of Sabah
and Sarawak*

State audits in States of Sabah and Sarawak

112A. (1) The Auditor General shall submit his reports relating to the accounts of each of the States of Sabah and Sarawak, or to the accounts of any public authority exercising powers vested in it by the State law in either of those States, to the Yang di-Pertuan Agong (who shall cause them to be laid before the House of Representatives) and to the Yang di-Pertua Negeri of the State; and accordingly Clause (2) of Article 107 shall not apply to those reports.

(2) The Yang di-Pertua Negeri shall cause any such report submitted to him to be laid before the Legislative Assembly.

(3) The powers and duties of the Auditor General in relation to the accounts mentioned in Clause (1) for any period ending before the year 1969 shall, in the State of Sabah or Sarawak, be exercised and discharged on his behalf by the senior officer of his department for the time being stationed in the State in question:

Provided that during the absence or incapacity of that officer, or a vacancy in his post, those powers and duties shall be exercised and discharged by the Auditor General or such officer of his department as he may designate.

Borrowing powers of States of Sabah and Sarawak

112B. Clause (2) of Article 111 shall not restrict the power of the State of Sabah or Sarawak to borrow under the authority of State law within the State, if the borrowing has the approval of the Central Bank for the time being of the Federation.

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Part VII

The heading of Chapter 2 “States of Sabah and Sarawak” substituted for the words “Borneo States” by Act A514, paragraph 19(1)(b), in force from 27-08-1976.

Art. 112A

Added by Act 26/1963, section 50, in force from 16-09-1963.

Clause (1)

- a. The words “each of the Borneo States” substituted for the words “a Borneo State or Singapore” and the words “either of those States” substituted for the words “any of those States” by Act 59/1966, section 2, in force from 09-08-1965.
- b. The words “the States of Sabah and Sarawak” substituted for the words “the Borneo States” by Act A354, section 43, in force from 27-08-1976.
- c. The words “Yang di-Pertua Negeri” substituted for the word “Governor” by Act A354, section 42, in force from 27-08-1976.

Clause (2)

The words “Yang di-Pertua Negeri” substituted for the word “Governor” by Act A354, section 42, in force from 27-08-1976.

Clause (3)

The words “the State of Sabah or Sarawak” substituted for the words “a Borneo State” by Act A514, paragraph 19(1)(b), in force from 27-08-1976.

Art. 112B

1. Added by Act 26/1963, section 49, in force from 16-09-1963.
2. The words “or of Singapore” which appeared after the words “Borneo State” and the words “, nor the power of Singapore to borrow under the authority of State law otherwise than within the State, if the borrowing has the approval of the Federal Government” which appeared at the end were deleted by Act 59/1966, section 2, in force from 09-08-1965.
3. The words “the State of Sabah or Sarawak” substituted for the words “a Borneo State” by Act A514, paragraph 19(1)(b), in force from 27-08-1976.

Special grants and assignments of revenue to States of Sabah and Sarawak

112c. (1) Subject to the provisions of Article 112D and to any limitation expressed in the relevant section of the Tenth Schedule—

- (a) the Federation shall make to the States of Sabah and Sarawak in respect of each financial year the grants specified in Part IV of that Schedule; and
- (b) each of those States shall receive all proceeds from the taxes, fees and dues specified in Part V of that Schedule, so far as collected, levied or raised within the State, or such part of those proceeds as is so specified.

(2) The amounts required for making the grants specified in the said Part IV, and the amounts receivable by the State of Sabah or Sarawak under section 3 or 4 of the said Part V, shall be charged on the Consolidated Fund; and the amounts otherwise receivable by the State of Sabah or Sarawak under the said Part V shall not be paid into the Consolidated Fund.

(3) In Article 110, Clauses (3A) and (4) shall not apply to the State of Sabah or Sarawak.

(4) Subject to Clause (5) of Article 112D, in relation to the State of Sabah or Sarawak Clause (3B) of Article 110—

- (a) shall apply in relation to all minerals, including mineral oils; but
- (b) shall not authorize Parliament to prohibit the levying of royalties on any mineral by the State or to restrict the royalties that may be so levied in any case so that the State is not entitled to receive a royalty amounting to ten per cent *ad valorem* (calculated as for export duty).

Reviews of special grants to States of Sabah and Sarawak

112D. (1) The grants specified in section 1 and subsection (1) of section 2 of Part IV of the Tenth Schedule, and any substituted or additional grant made by virtue of this Clause, shall at the intervals mentioned in Clause (4) be reviewed by the Governments of the Federation and the States or State concerned, and if they